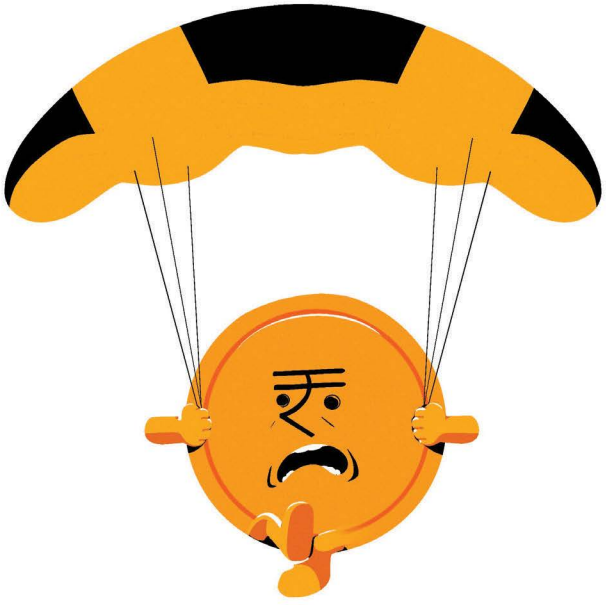
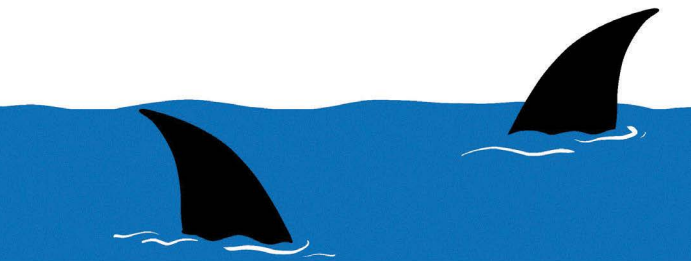




OUR FINANCIAL HABITS MAKE OR BREAK US. GET RID OF OLD HABITS LIKE SPENDING YOUR ENTIRE SALARY ON SETTLING BILLS AND REGULAR EXPENSES

payment and also ensure you do not delay it and pay a fine.

The habit of paying bills on time will also improve your credit rating and credit score, which goes a long way in ensuring you are not charged a higher interest rate on a loan when you need it. If you wish to manually make payments, budget it and also set reminders. To make sure you are not late owing to holidays, make payments a few days before the due dates.

HABIT 10

REVIEWING AND REBALANCING PORTFOLIO

To invest regularly is a good habit to build wealth. An extension of this is diversifying your investment portfolio to a wide range of assets and also rebalancing it to maintain an ideal mix of stocks, bonds and other assets. Depending on your financial goal and your life stage, you can rebalance the portfolio as often as you want.

One of the biggest perils of not rebalancing is to potentially expose yourself to greater levels of risk than you had initially planned for or are comfortable with. Exposing yourself to too much risk can also lead to undisciplined investing. That's because emotions (greed and fear) can interfere with your decisions and can easily derail future goals. For instance, at the start of the Covid-19 pandemic, many investors dumped stocks because they couldn't bear the thought of losing more money and in turn missed out on future upswings.

Develop the habit of periodic review of your asset allocations to stick to your investment objectives while maintaining your desired tolerance for risk. Get into the habit of routinely reviewing your portfolio to know how it has fared and if you need to rebalance it.

HABIT 11

LEARN TO SAY NO

It is an important habit to know when to say no and to say so often. It is about getting control over impulse buying. Say, you are out somewhere, and you see something you like, and you buy it because it doesn't cost that much. Even worse is the ability to purchase things online nowadays and have it delivered to your doorstep in just a few days. If you do that several times a week, the spending really adds up.

The habit of buying things on impulse may make you feel good, but it will cost you. An average Rs 200 per impulse can shoot up to Rs 2,000 if done 10 times in a month. And, that Rs 2,000 could have gone into savings and investments to help you with a goal you have listed for yourself or to service a debt. This bad habit can get worse, especially when you have children and feel upset about saying no to their demands.

Telling no to kids is important for they then learn to value money from a young age. Moreover, kids always want something and at a younger age do not understand the value of money or the consequences of getting everything they ask for. On your part, you may think their wants cost less, but it takes little time for their demands to go up and it can dent the savings committed towards your child's future expenses. Develop the habit of incentivising children's demands with tasks that they need to accomplish so that they value and also earn what they wish for.

Saying no is not to deprive you of the essentials; the important thing is to have a check on your impulses. How you spend money can also inculcate the habit of saving in children and teach them about handling money when they grow up.

HABIT 12

FEES MATTER

It's a good habit to put your money into savings, investments and insurance. But, do you know where exactly it is going and how much it is costing you? For example, say, you invest Rs 20,000 earning 10 per cent per year and pay 2 per cent on